Global GDP Nowcast

A running read on world real GDP growth, updated from trade, factory output, consumer, and financial-market data as it's published each month.

THE ASSESSMENT

The global economy looks set to grow at an annualized **+4.0%** pace in Q2 2026 — modestly above its longer-run 3.6% trend, and an acceleration from the 3.0% pace booked in Q1 2026. Consumers are spending more, while factory output is pulling back. The model expects growth to hold roughly steady over the following quarters. This is an estimate one quarter ahead of the last confirmed GDP print, so it is best read as a directional signal on where the economy is heading rather than a precise forecast.

NOWCAST · Q2 2026

+4.0%

annualized, world real GDP · one quarter ahead of last confirmed print

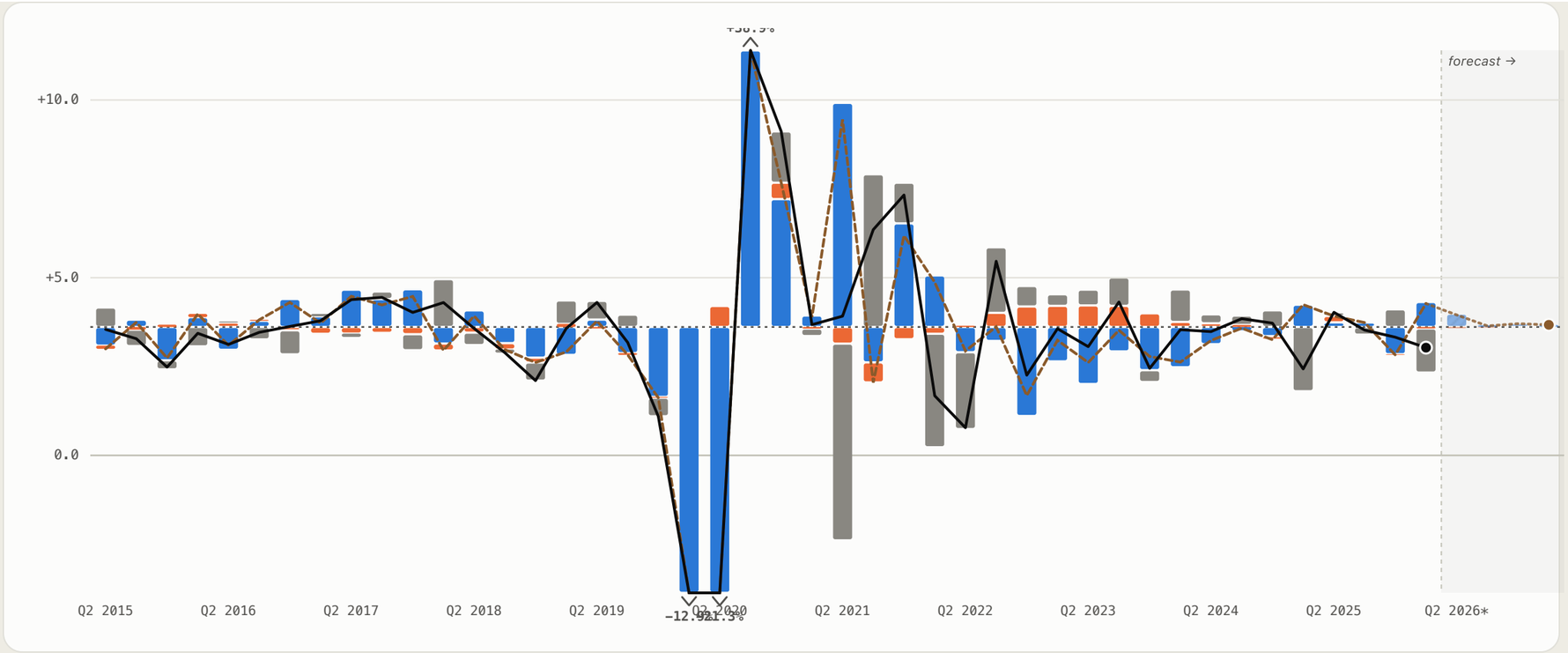
Elastic-net model IN USE

Global growth is tracked with two competing statistical models; this one was picked because it has predicted actual GDP prints more accurately over the past decade — including during downturns — than the alternative.

0.94	3.0pp	7/20
MODEL FIT (R^2)	TYPICAL MISS	INDICATORS IN USE

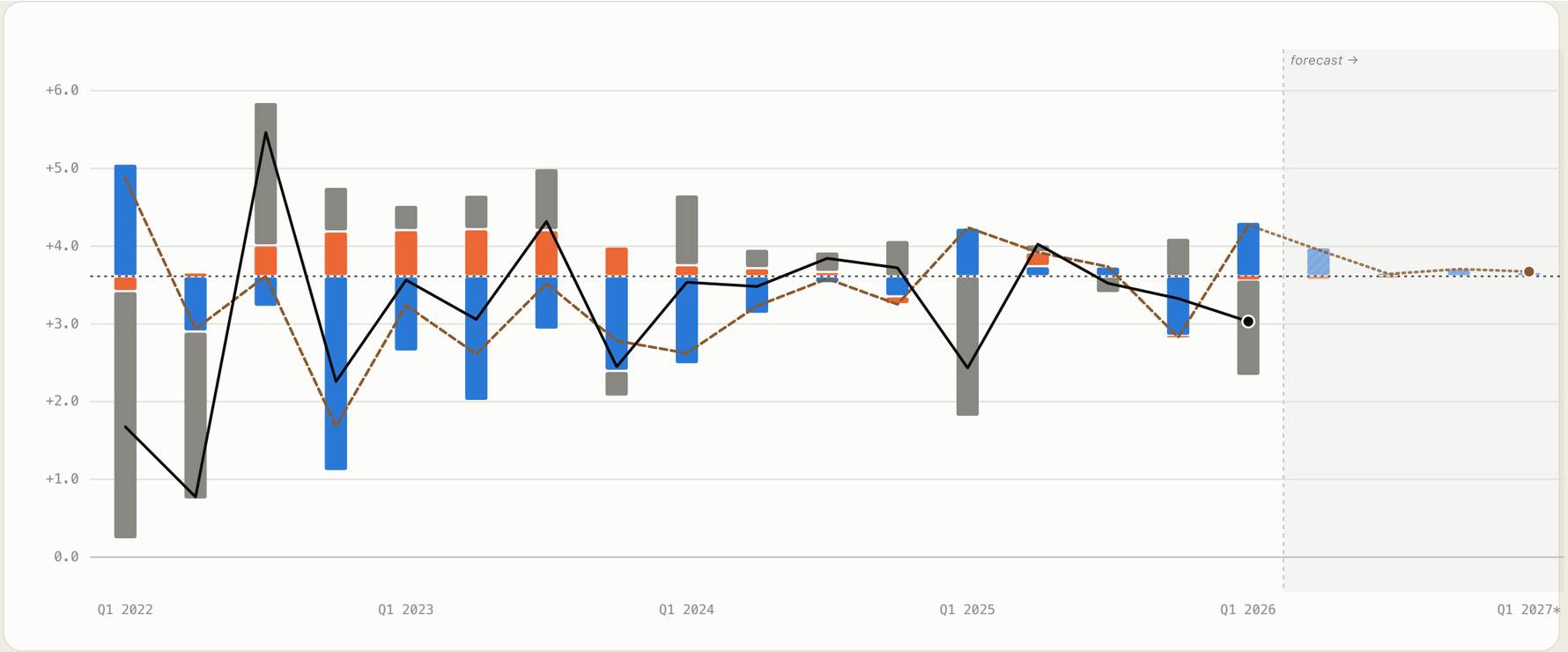
Drivers of growth, by quarter

How each group of indicators has pushed growth above or below its +3.61pp long-run trend, quarter by quarter · the line is actual GDP growth · Q2 2015–Q1 2027 · hatched bars are forecast quarters. 2020's COVID collapse and rebound are so large they'd flatten every other quarter on this scale — arrows mark where the chart runs off the edge; hover any bar for exact figures.



Same chart, 2022 onward

The same view, zoomed into 2022 onward. With the COVID-era swings out of frame, the recent growth cycle is easier to read.



This quarter’s breakdown, by indicator

Q2 2026 nowcast · every indicator in the panel, ranked by how much it has typically moved the headline number over the past 44 quarters · the +3.61pp long-run trend applies on top of every row below and isn’t attributable to any one indicator · the model in use currently leans on **7 of 20** indicators — the other 13, dimmed below, are tracked but aren’t currently moving the estimate.

INDICATOR	Q2 2026	TYPICAL IMPACT	SOURCE
Industrial production World industrial production, 3-month annualized growth.	-0.49pp	1.75pp	Haver `S001XDG@G10` fallback: CPB World Trade Monitor
Jobless claims (falling = +) US initial jobless claims, sign-flipped YoY % change so + = claims falling.	+0.26pp	0.70pp	Haver `LICM@USECON` fallback: FRED ICSA
Retail sales OECD total retail trade volume, 3-month annualized growth.	+0.61pp	0.65pp	Haver `C003ROI@OECDMEI` fallback: FRED SLRTTO01OEQ659S
Bank lending standards (easing = +) Fed Senior Loan Officer Survey, net % of banks tightening C&I loan standards, sign-flipped so + = easing.	+0.03pp	0.18pp	Haver `LCIQ157@BCI` fallback: FRED DRTSCILM
EM / sovereign spread proxy JPMorgan EMBI Global sovereign spread, YoY change (bp), sign-flipped so + = spreads tightening.	-0.06pp	0.04pp	Haver `GS@EMBI` fallback: yfinance EEM
Yield curve (10y-2y) 10-year minus 2-year US Treasury yield spread — classic recession-leading indicator.	+0.02pp	0.03pp	Haver `FCM10@USECON - FCM2@USECON` fallback: FRED T10Y2Y
Bank equity index KBW Bank Index, YoY % change — bank-sector health/stress proxy.	-0.03pp	0.02pp	Haver `SPKBW@USECON` fallback: yfinance ^BKX
Composite PMI S&P Global Composite PMI (business survey); readings above 50 = expansion.	+0.00pp	0.00pp	Haver `SGBLVPTG@INTSRVYS` fallback: OECD Composite Leading Indicator
Trade volumes World trade volume, 3-month annualized growth.	+0.00pp	0.00pp	Haver `S001IQXM@G10` fallback: CPB World Trade Monitor
Oil price shock Brent crude spot price, year-over-year % change.	+0.00pp	0.00pp	Haver `PEOBR@WBPRICES` fallback: FRED DCOILBRENTEU / yfinance BZ=F
Financial conditions Chicago Fed National Financial Conditions Index, sign-flipped so + = easier conditions.	+0.00pp	0.00pp	Haver `NFCIM1@BCI` fallback: FRED NFCI / yfinance ^VIX
AI / tech capex Philadelphia Semiconductor Index, YoY % change — tech/chip-demand proxy.	+0.00pp	0.00pp	Haver `SPSOX@DAILY` fallback: yfinance ^SOX
Copper (Dr. Copper) LME copper price (nicknamed Dr. Copper), YoY % change — global	+0.00pp	0.00pp	Haver `PNMCOP@WBPRICES` fallback: FRED PCOPPUSDM / yfinance HG=F

INDICATOR	Q2 2026	TYPICAL IMPACT	SOURCE
industrial-demand proxy.			
USD index (easing = +) Broad trade-weighted USD index, sign-flipped YoY so + = dollar easing.	+0.00pp	0.00pp	Haver `FXTWBDI@USECON` fallback: FRED DTWEXBGS / yfinance DX-Y.NYB
VIX (calm = +) CBOE Volatility Index (VIX), sign-flipped z-score so + = calm markets.	+0.00pp	0.00pp	Haver `SPVIX@USECON` fallback: yfinance ^VIX
Equity market performance S&P 500 Composite, YoY % change — US proxy for global equity markets.	+0.00pp	0.00pp	Haver `SP5COM@SPD` fallback: yfinance ^GSPC
Housing prices Case-Shiller US National Home Price Index, YoY % change.	+0.00pp	0.00pp	Haver `CASUSXAM@USECON` fallback: FRED CSUSHPINSA
Consumer confidence OECD total consumer confidence index, de-meaned level.	+0.00pp	0.00pp	Haver `C003CCE@OECDMEI` fallback: FRED CSCICP03O9M665S
Business confidence OECD total manufacturing/industrial confidence index, de-meaned level.	+0.00pp	0.00pp	Haver `C003BMA@OECDMEI` fallback: FRED BSCICP03O9M665S
COVID stringency (less strict = +) Oxford COVID-19 Government Response Stringency Index, sign-flipped so + = less restrictive.	+0.00pp	0.00pp	Oxford OxCGRT (static historical CSV)

2 of 22 tracked indicators aren’t in this run’s panel at all (distinct from the dimmed rows above, which the model just isn’t currently weighting):

- **Credit spreads (HY OAS)** (credit) — Haver history for this series only goes back to 2012 — shorter than the panel's 2005 start, so it's dropped rather than truncating every other indicator's usable history to match.
- **Leverage / credit-to-GDP** (leverage) — the underlying series (US private nonfinancial credit-to-GDP) appears to have stopped updating as of late 2025 — treated as discontinued and dropped rather than carried forward stale.

Model comparison

Average miss vs. actual GDP prints, testing each model on data it hadn’t seen · lower is better · bold = more accurate

PERIOD	FACTOR MODEL	ELASTIC-NET MODEL (IN USE)
Normal quarters 66 quarters	1.57pp	**1.50pp**
Stress periods 7 quarters	13.95pp	**8.41pp**
Overall	4.57pp	**2.97pp**

Illustrative model output, not an official or investment forecast. Full estimation and data-pipeline code (`py/01_build_panel_real.py` through `py/05_export.py`) ships alongside this pipeline; rerun it any time to refresh every number on this page.

MEMORANDUM

Global Growth Nowcast

Re: World real GDP, Q2 2026 **Date:** August 19, 2026

World GDP growth in Q2 2026 is tracking at an annualized **+4.0 percent**, modestly above the global economy's 3.6 percent long-run trend, and an acceleration from the 3.0 percent pace booked in Q1 2026. The improvement is concentrated in stronger consumer spending and a resilient labor market, only partly offset by softer industrial production. This is a **nowcast** — a real-time estimate built from monthly data — not the official GDP figure, which will not be confirmed for several more months.

Why We Nowcast

Governments report GDP quarterly, and the final figure for a given quarter is typically not confirmed until well after that quarter has ended; for a global, PPP-weighted aggregate like this one, confirmation lags further still, since it depends on every major economy having reported. By the time the official number arrives, it is too stale to inform a near-term decision. A nowcast closes that gap by tracking the economy in real time, using monthly data that arrives faster than GDP itself — business surveys, trade flows, factory output, jobless claims, retail sales, and financial-market indicators. None of these series is GDP, but together they move closely with it and are available weeks to months sooner.

How We Build the Estimate

We combine roughly 20 monthly indicators — spanning trade, industrial activity, the labor market, consumer spending, and financial conditions — into a single statistical estimate of GDP growth. Two different modeling approaches are tested side by side against more than a decade of history, including the 2008 financial crisis and the 2020 pandemic, and we use whichever has actually predicted GDP more accurately, quarter by quarter, rather than committing in advance to one method. That comparison is re-run every time the estimate is refreshed, so the model in use can change — and has changed, in past refreshes — as conditions change.

The Data

Data is drawn primarily from Haver Analytics, a professional economic-data platform, with the Federal Reserve, the OECD, the IMF, and other public sources as fallbacks when a series is unavailable. We favor data that is genuinely monthly, so it updates faster than GDP; available with only a short lag; and has a long, consistent history, so it can be tested against past

recessions and recoveries rather than only recent, calmer periods. Two series — Credit spreads and Leverage / credit-to-GDP — are sitting out this update because their available history is either too short or has stopped updating; both are re-tested every cycle and will return automatically once the data resumes.

What the Results Are Telling Us

The headline number — +4.0 percent for Q2 2026 — is a read on the current quarter, not a distant forecast: it sits just one quarter beyond Q1 2026, the last quarter with a confirmed GDP print, so it is built on real monthly data that has already come in for Q2 2026, not a long-range guess. The chart on the Dashboard tab also carries the estimate several quarters further out, to show where the model expects growth to head next, but those later quarters are extrapolated rather than grounded in incoming data and should be weighted less heavily than this one.

Even this quarter's number is an estimate, not a confirmed figure: historically, this model's GDP estimates have missed the actual print by about 3 percentage points on average, so the exact decimal matters less than the direction and rough magnitude it points to — growth running above trend and accelerating from last quarter, not the reverse.

Key Drivers of Growth

Consumer spending, measured through retail sales, is the single largest positive contributor this quarter — households are spending more, not less. The labor market is the next-largest positive contributor: jobless claims are falling, a sign employers are not yet cutting workers despite the slowdown elsewhere. That slowdown shows up directly: industrial production is the largest single drag this quarter, even as the positive drivers outweigh it. Smaller movements in bank lending conditions, emerging-market borrowing costs, and bank equities round out the picture but are not currently decisive.

Bottom Line

The economy is growing faster than its long-run trend, carried by the consumer and the labor market even as manufacturing cools. We will continue to update this estimate monthly as new data arrives and will flag if the balance of drivers shifts.